Overcapacity in the Industry

(Permanent/ Seasonal)

(High/Medium/Low)

Industries can have permanent as well as seasonal excess installed capacity and underutilization.

- Seasonal factors do not affect the competitive intensity as much as permanent overcapacity.
- Structural and long-term industry overcapacity incentivizes competitors to be more aggressive.

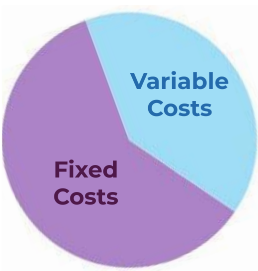
They try to gain market share to improve production in volume terms.

High Overcapacity → More Intense Competition

Low Overcapacity → Less Intense Competition

Fixed Costs in the Industry

(High/Medium/Low)



→ High Volume Production

Low Per Unit Fixed Cost

If more volumes are produced, the fixed cost price unit will go down. So, to increase volume where fixed costs are high, the competitive intensity is also high.

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As a result, the competitors undercut each other to gain volume.